Instant Retail Co. Profitable Growth Strategy

2026

All logos, trademarks, and brand names used belong to their respective owners
This information is confidential and was prepared by Bain & Company solely for the use of our client. It is not to be relied on by any 3rd party without Bain's prior written consent

Welcome to the

2026 Bain case competition!

Case background and next steps (1/4)

Instant Retail Co. is a nationwide instant shopping platform offering 30-60-minute delivery in select Chinese cities. Amid the ongoing “food delivery war” and O2O expansion, Instant Retail Co. is rapidly developing its network in lower-tier cities.

The company has expanded its presence in Tier 3 and Tier 4 cities but has struggled for years with low profitability.

The Chief Strategy Officer (CSO) invites your team to develop a **3-5 year growth and profitability strategy** for these Tier 3 and Tier 4 markets.

The analytical rigor and clarity in trade-offs will determine progression to the final round. Meanwhile, deep market understanding and first-hand insights are highly valued by client.

Case background and next steps (2/4)

The Chief Strategy Officer's requirements…

- Root causes of the low profitability in Tier 3 and Tier 4 cities
- Suggested city portfolio and prioritization across the 10 candidate Tier 3 and Tier 4 cities
- Suggested business model and scenario priorities (e.g. categories, fulfilment models, cooperation models)
- A simplified city-level unit economics framework and 3-year break-even path
- The role of Tier 3 and Tier 4 cities in Instant Retail Co's overall 3-5 year strategy

Your team is expected to tell a compelling story supported by robust data analysis and reliable sources of information to answer the above-mentioned key questions

Case background and next steps (3/4)

To help you quickly get up-to-speed, the CSO has kindly shared some reference materials:

- The fact base of the 10 selected Tier 3 and Tier 4 cities
- Instant Retail Co's operation performance
- The latest movement of the O2O market etc.

But you are encouraged to do other deep analysis and researches to understand the market better

She believes that your team will be able to gather other interesting and powerful information from publicly available sources (e.g., company annual reports, analyst reports, business news) or primary research to support your analysis and recommendation

Case background and next steps (4/4)

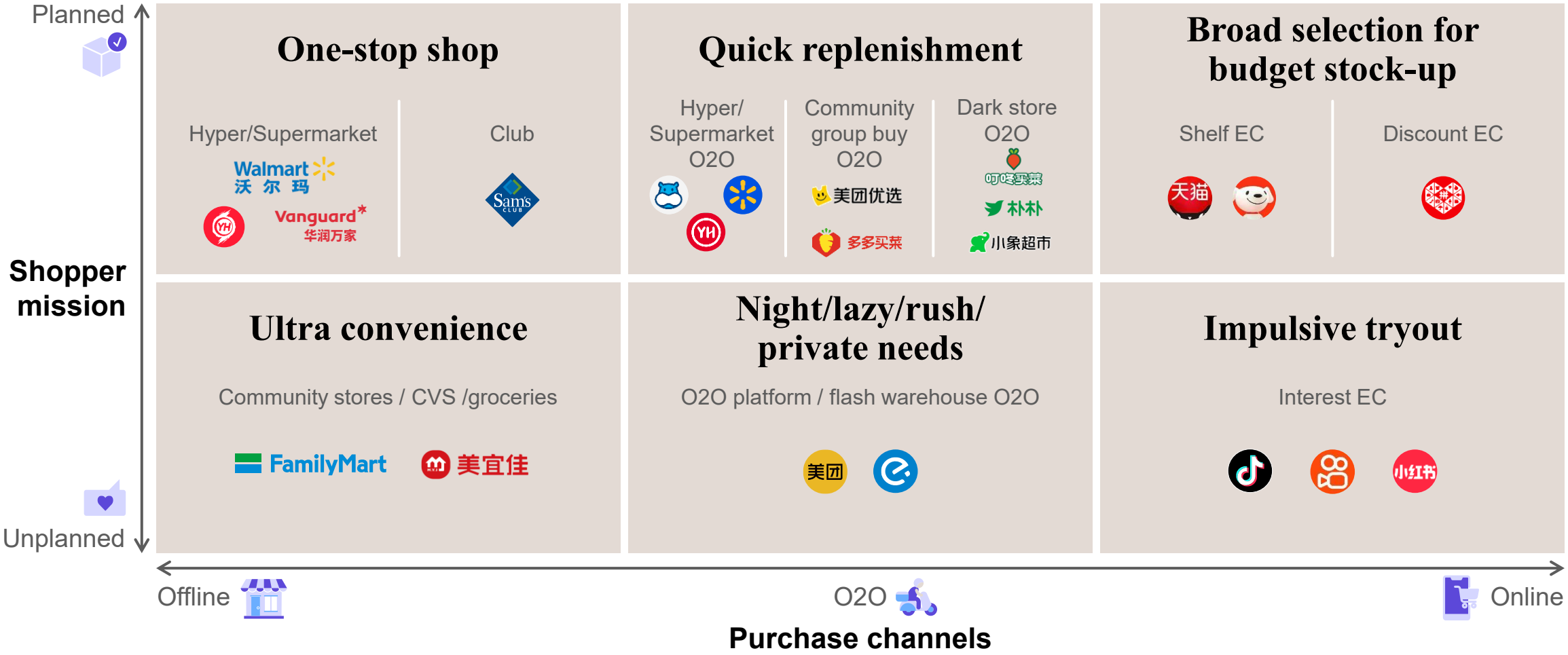
This proposal is due by **May 4, 23:59**, and you may be invited to present these materials in the workshop in the following week

To ensure that your presentation **hits the most important points** and is "**communicating-for-results**", you have agreed with the CSO that:

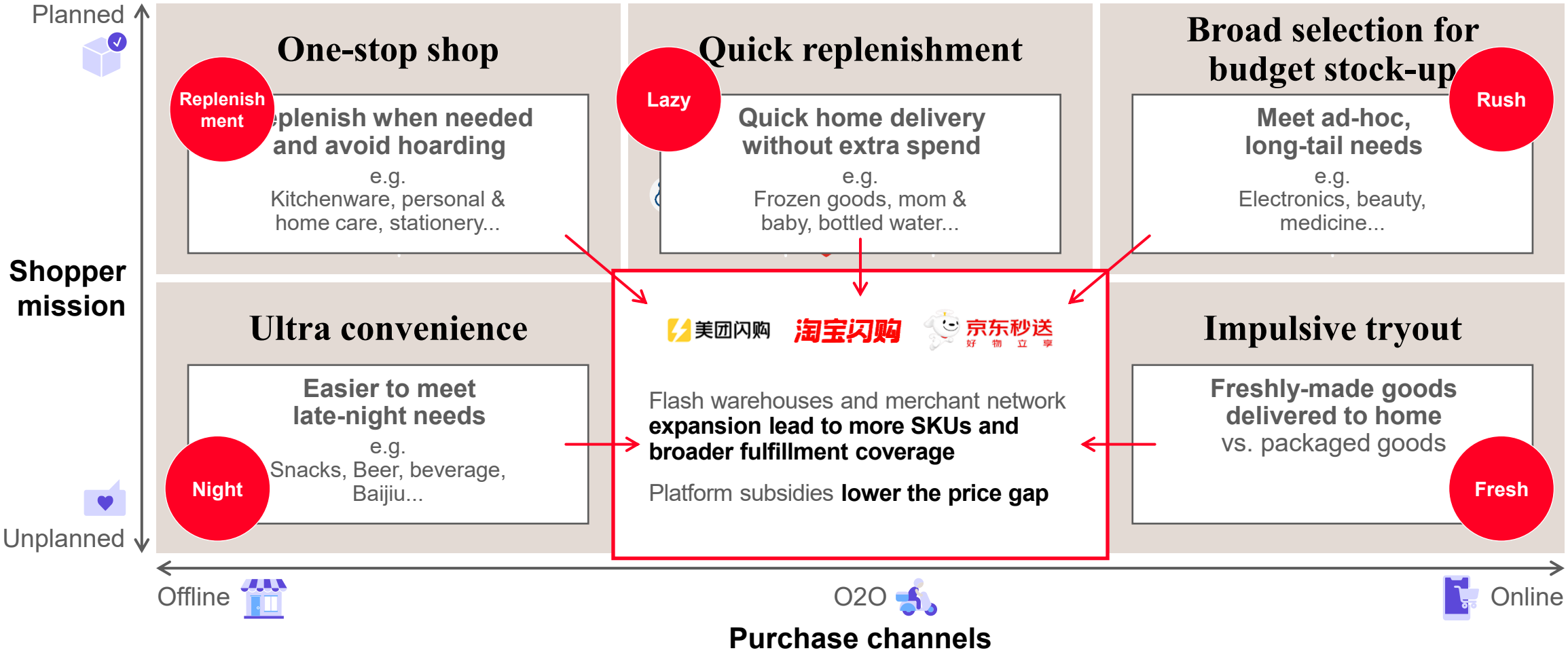
15 slides	**Maximum 15 slides** for the presentation (not including agenda pages or additional data analyses in backup materials) - the objective is not supposed to be as comprehensive as possible, so please focus on what is most insightful and impactful
26pt./14pt.	**Minimum 26 font size** for slide taglines; minimum **14 font size** for main body text; **maximum 3 charts/graphs** on a slide
Clear	All pages should be **easy to read and understand** for audience with a general background

Again, the CSO reminds you to **follow and focus on the key questions**, given the tight timeline

From the consumer lens, the competition is among offline, O2O and online channels



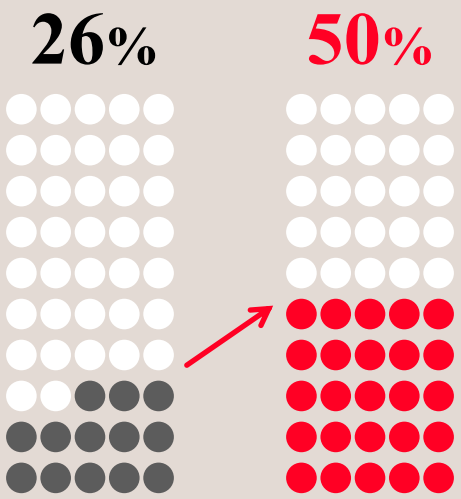
O2O war enables the 30-min O2O to penetrate more occasions



Hyper convenience: Dark stores and flash warehouses with 30-minute delivery radius reshape the industry landscape

Accelerated O2O penetration

O2O penetration %



Fast-growing dark stores

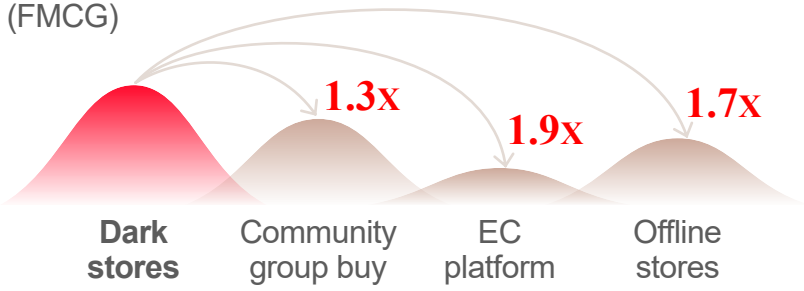
叮咚买菜 朴朴 小象超市

Business model:
Buyout

Key features:
to strengthen the depth and density of supply chain to increase turnover and reduce shrinkage

CAGR 30%

Purchase frequency
(FMCG)



Expanding flash warehouses

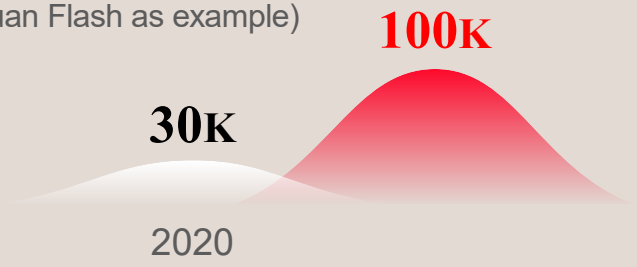
美团闪购 淘宝闪购 京东秒送 好物立享

Business model:
Partnership

Key features:
to achieve scale of economy by connecting consumer traffic and platform's delivery network

"Everything NOW" 3,000-10,000 SKUs
(2-3X dark stores)

# of flash warehouses
(Meituan Flash as example)



Thank you

BAIN
& COMPANY